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THE ARMY AND NAVY CLUB BUILDING SUITE 1100 1627 I STREET, NW WASHINGTON, DC 20006-4007
202.912.4800 800.540.1355 202.912.4830 FAX www.cozen.com

January 18, 2011

David F. Smith/Robert K. Magovern

Direct Phone 202.463.2509

Direct Fax 202.463.4900

**VIA COURIER
CONFIDENTIAL**

Karen V. Gregory, Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Room 1046
Washington, D.C. 20573-0001

Re: CONFIDENTIALITY REQUESTED: FMC EU Study – Hyundai
Merchant Marine Co., Ltd.'s Response to NOI

Dear Ms. Gregory:

Please find attached Hyundai Merchant Marine Co., Ltd.'s ("Hyundai") comments in response to the Federal Maritime Commission's Notice of Inquiry ("NOI") analyzing the effects of the European Union's repeal of the liner block exemption from EU competition laws that took effect on October 18, 2008. Hyundai appreciates the opportunity to provide input to the Commission on this important subject.

Attached is one original and one copy of the non-confidential version of Hyundai's comments, which marks on each affected page that confidential materials have been excluded. Also attached is one copy of the confidential version of Hyundai's response, which marks all confidential materials on the affected pages. This version has been marked "Confidential-Restricted" per the Commission's instructions in the NOI. The confidentiality requested relates to Hyundai's responses to questions 5, 6, 9, 11, 12, 15, 16, 20, 24-26, and 29. Hyundai is requesting confidentiality because the data and information contained in these responses is non-public and commercially sensitive.

A copy of this letter and its enclosures has been provided for your acknowledgement of receipt.

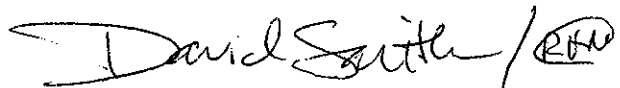
Ms. Karen V. Gregory

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Very truly yours,

COZEN O'CONNOR

A handwritten signature in black ink, appearing to read "David Smith / RKM". The signature is written in a cursive, flowing style.

By: David F. Smith/Robert K. Magovern

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FMC E.U. STUDY NOTICE OF INQUIRY QUESTIONS
RESPONSE OF HYUNDAI MERCHANT MARINE CO., LTD.

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Section A	General Questions	HMM Responses
1	Based on your experience since September 2006 (when the European Union announced its decision to terminate the block exemption for liner shipping conferences to take effect October 2008), what impacts, if any, have you identified on your company's commercial activities, in any trade line, that you would attribute to the termination of the E.U. conference block exemption? Please explain. If you believe there have been such impacts, please indicate when that impact first occurred.	One of functions of EU conference (FEFC) was the exchange of market forecast/updates, which helped the member carriers to estimate the cargo demand in the short term as well as long term and make more informed market decisions. After the termination of the conference, HMM had to depend solely on several customers and shipping media for the cargo forecast. In addition, the conference discussed and established rate guidelines to give shippers and carriers a sense of where market rate trends were headed. The removal of this ability to communicate has resulted in less stability and predictability not just for carriers but also other industry members. Many shippers have told us they value stability and predictability. HMM has been reinforcing its own rate policy individually in order to comply with EC competition law which does not allow carriers to do any collective actions such as conference and general guideline.
2.	Based on your experience since October 2008 (when the EU exemption for liner conferences was terminated) has any class of shipper or class of vessel-operating common carrier received a competitive advantage or been put at a competitive disadvantage as a result of the E.U. decision to terminate the exemption? If so, please explain.	At this point, it is difficult to tell whether and how any groups of shippers or carriers have been affected by the termination of conferences. However, we believe that the termination has attributed in considerable extent to the volatility of rates.
3.	Based on your experience since October 2008 (when the E.U. exemption for liner conferences was terminated), have difference between U.S. and E.U. liner shipping competition regulations created any problems for your company? If so, please explain.	From the operational or commercial perspective, HMM has always been doing business separately for Asia-EU trade and Asia-US trade. As such, there has been no conflict or problem from the different regulations in US and EU. The only trade regulated by both regulations is the Trans Atlantic trade between Europe and US, in which we have not had any problems due to the different regulations as HMM did not actively participate in any of the E.U. liner conferences.

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4.	Does your company view cooperation among ocean carriers in operational agreements (e.g., vessel sharing agreements, alliances, consortia, etc.) as generally having a positive, neutral or negative impact on the availability or cost of liner shipping services? Please explain. Does the E.U. market share threshold of 30% for such operational agreements have any effect with respect to that impact? If so, explain.	Yes, we believe there are significant benefits of operational agreements. Vessel alliances or other types of operational agreements provide better services to the shipping public in terms of more frequencies, wider coverage by direct calling, faster transit time with lower costs and economy of scale. However, under the E.U. regulation of the market share of 30%, carriers are getting more cautious in enhancing the operational alliances with other carriers. In a long term perspective, this kind of regulation would inhibit the operation alliances from further seeking cost-effective and competing service to customers. The EU's interpretation of market share, coupled with the costly and burdensome self-assessment process and the ultimate uncertainty it creates, have made alliances less attractive in the EU trades.
Section B		
5.	Questions about the North Atlantic Trade (TAS) Approximately what percentage of your company's freight earnings involves international shipping in the North Europe/U.S. trade? Does your company's business involves US imports (westbound service) only, U.S. exports (eastbound service) only, or both? Please explain briefly.	HMM provides both westbound and eastbound services in the North Europe/U.S. trade. HMM's presence in the Europe/U.S. trade is relatively small and consequently the freight earnings in this trade were around [REDACTED] % of the total freight earnings in 2010.
6.	How and to what extent, did the recent economic recession (2008-2009) affect your company's liner shipping-related business in the North Europe/U.S. trade? Please explain.	The rate structure had changed to all-in rate basis and the freight rates had nose-dived to red figures due to the demand drop. It has happened widely in the market not just on our book of business. As for HMM, the load factor of Year 2009 in this trade was unprecedentedly low at [REDACTED] % in W/B and [REDACTED] % in E/B. This has forced HMM to withdraw one loop (ATN) from service.
7.	Based on your experience prior to July 2008, when the Trans-Atlantic Conference Agreement (TACA) disbanded, did the existence of TACA have any impact on your liner shipping-related business in the North Europe/U.S. trade? Please explain.	HMM was a member of the Trans-Atlantic Conference Agreement only briefly prior to the abolishment of the agreement. As such, the abandonment of the agreement had no direct impact on our business. Clearly, the global financial crisis threw a harsh and direct blow to our business drastically, but we believe the abolishment of rate agreements likely aggravated the downward cycle in the trade.
8.	Based on your experience in the period from October 2008 to	Carrier agreements provide a reference to GRI and surcharges, but do not set the rates and

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	the present (i.e., since the E.U. block exemption was terminated), has there been any significant changes in liner services in the North Europe/U.S. trade that you attribute to the E.U. terminating the block exemption? For example, changes in: a. the level of freight rates and surcharges; b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility); c. the assessment of surcharges; d. the level of competition among ocean carriers; e. the service contracting practices or terms offered by ocean carriers; f. the availability of vessel capacity and container equipment; or g. the level or quality of liner services (including customer service, billing accuracy, etc.) If so, please identify and explain those changes.	surcharges by individual ocean carriers. All the freight and surcharges are subject to market S&D and liner's own pricing policy. However, our observation is that the EU trades have experienced significantly more volatility in rates, charges, and service than non-EU trades over the past two years.
9.	For CY 2010 to date, please estimate the percentage of your annual business (by volume) in the North Europe/US liner trade that moved under (a) annual (or longer) service contracts, (b) shorter-term freight agreements, (c) spot rates and (d) other (please specify). Has that changed significantly since October 2008? If so, please explain.	The volumes under annual service contracts and spot rates were [REDACTED] % and [REDACTED] %, respectively, in 2010. The volume under annual service contract was [REDACTED] % in 2007, [REDACTED] % in 2008, and [REDACTED] % in 2009. As the market demand dropped in 2009, the MQC could not be met. Hence, the spot business was expanded instead in order to improve lifting.
10.	Following repeal of the E.U. block exemption, ocean carriers created a global information system under Container Trade Statistics, Ltd. (CTS) in which a majority of ocean carriers serving the North Europe/U.S. trade participate. CTS provides	HMM subscribes to CTS Europe/U.S. trade data in order to gauge the market supply and demand. As the data does not cover the latest sales activities, it's of limited use to understand the market and to make mid and long term strategy and investment.

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	certain data free on its web site, including indices of the carriers' aggregated average revenue per TEU by month. CTS also sells other data. To what extent, if at all, does your company access and use CTS Europe/U.S. trade data, and (if it does not so) for what purpose(s)?	
Section C	Questions about the Transpacific Trade (Far East/U.S.)	
11.	Approximately what percentage of your company's freight earnings (lines, OTIs) or shipping expenses (shippers) involve international shipping in the Far East/U.S. trade? Does your company's business involve U.S. imports (eastbound service) only, U.S. exports (westbound service) only, or both? Please explain.	HMM provides both eastbound and westbound services in Far East/U.S. trade and the percentage of its freight earnings from the trade is [REDACTED] % of its total freight earnings.
12.	How and to what extent did the recent economic recession (2008-2009) affect your company's liner shipping-related business in the Far East/U.S. trade? Please explain.	First three quarters of 2008 had no significant cargo drop from 2007. In the fourth quarter of 2008, HMM experienced [REDACTED] % cargo volume drop, followed by another [REDACTED] % volume drop in the first quarter of 2009 in the eastbound service of Far East/U.S. trade. The rates also started falling off by [REDACTED] % in the first quarter in 2009, followed by another [REDACTED] % drop in the second quarter of 2009. It was a prelude to the catastrophic year of 2009. Based on the significant reduction in eastbound cargo volumes, HMM had to reduce the vessel capacity by [REDACTED] % to better match the fallen demand in the first quarter of 2009. Despite its efforts to minimize the loss, HMM lost hundreds of millions of dollars in 2009. As the import volumes started decreasing from the fourth quarter of 2008, container shortages developed, especially in the Mid-West hubs, which inhibited our ability to accommodate the unexpected surge of export demand in late 2009 due primarily to stimulus spending in China. In the second quarter of 2010, HMM reinstalled the vessel capacity back to 2007/2008 peak season level to accommodate the increasing cargo demand.
13.	Based on your experience from January 2006 to the present,	The discussion groups established cost based surcharge guidelines that benefit the

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	have the activities of the Trans-Pacific Stabilization Agreement (TSA) or the Westbound Trans-Pacific Stabilization Agreement (WTSA) had any significant impact on your company's liner shipping-related business in the Far East/U.S. trades? If so, please explain.	shippers by providing continuity from line to line and the information shared among carriers concerning market conditions was helpful to HMM in establishing our marketing strategies. Voluntary rate guidelines were used as a point from which to negotiate contract rates with each of our individual accounts. This has led to some degree of stability, although the rate levels are ultimately determined most significantly by market conditions (supply/demand). However, the discussion agreements do not have any significant impact on HMM's strategic planning for capacity, service design or customer service. HMM subscribes to 'expert' sources for strategic decision making as to these areas such as Drewry, Alphaliner and various industry consultants. The discussion groups also coordinate regular dialogue with shippers and shipper groups, which we find helpful.
14.	Based on your experience in the period from October 2008 to the present, have there been any significant characteristics of liner services in Far East/U.S. trades that you attribute to action taken by TSA or WTSA member liners acting collectively? For example: a. the level of freight rates and surcharges; b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility); c. the assessment of surcharges; d. the level of competition among ocean carriers; e. the service contracting practices or terms offered by ocean carriers; f. the availability of vessel capacity and container equipment; and g. the level or quality of liner services (including customer service, billing accuracy, etc.) If so, please identify and explain those characteristics.	The most significant characteristic of liner services in Far East/U.S. trades attributable to WTSA/TSA would be the predictability. TSA/WTSA members are able to exchange market information at the optimal timing for rate negotiations based on considerations such as crop seasonality, demand peaks, commodity price fluctuations, currency exchange rates, etc. As such, both carriers and shippers have experienced more predictable rate cycles. With respect to the other aspects of the liner services referred to in this question: 1) the discussion agreements establish voluntary rate guidelines as a starting point, but the contracted rates are negotiated with each individual customer based on market conditions and individual circumstances; 2) surcharges are cost-based, and accessorial charges are influenced by third parties such as foreign port authorities (Example: Terminal Handling fees, Port Security fees), State & Federal governments (Example: Alameda Corridor Charge), multi-modal transportation providers (Example: trucking company & railroad Fuel Surcharges), etc., and carriers individually decide whether to adopt the surcharge and frequently establish the fee based on their individual costs or situation; 3) as customers are free to change their carrier mix at the time of contracting, there is no limitation in competition among carriers when it comes to battles for individual contracts; 4) since vessel capacity is not addressed by WTSA/TSA carriers, the discussion groups have no influence

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		on carriers' decisions to add or reduce capacity and 6) carriers, like most businesses, have varying levels of sophistication in their computer systems, which largely determines quality of service and responsiveness of each carrier.
15.	For CY 2010 to date, please estimate the percentage of your annual business (by volume) in the Far East/U.S. liner trade that moves under (a) annual (or longer) service contracts, (b) shorter term freight agreements, (c) spot rates, and (d) other (please specify)? Has that changed significantly since October 2009? If so, please explain.	[REDACTED] % of the volume (eastbound and westbound) in Far East/U.S. trades was under annual or multi-year service agreement. In eastbound service, [REDACTED] % of the volume was moved pursuant to annual service contracts. The majority of the service contracts have terms for one year or longer and only [REDACTED] % of our service contacts has terms shorter than one year. The shorter term freight agreements are used by exporters only and primary commodities under such agreements include exempt commodities and seasonable produce (refrigerated fruit and vegetables). The percentage of cargo moved under spot rates was [REDACTED] % of the overall volume in 2010 and spot business include project cargo moving as break bulk or in/on flat racks and open top containers.
Section D	Questions about the Europe-Asia Trade (Far East/Europe)	
16.	Approximately what percent of your company's freight earnings (lines, OTIs) of shipping expenses (shippers) involve international shipping in the Far East/Europe trade? Does your company's business involve European imports (westbound service) only, European exports (eastbound service) only, or both? Please explain briefly.	HMM provides both eastbound and westbound services in the Far East/Europe trade and its freight earnings from the Far East/Europe trade is [REDACTED] % of its total freight earnings.
17.	How and to what extent did the recent economic recession (2008-2009) affect your company's liner shipping-related business in the Far East/Europe trade? Please explain.	HMM began to experience a significant decrease in the volume and rates in the fourth quarter of 2008. The rate dropped by 15% in the fourth quarter of 2008, followed by another 43% in the first quarter of 2009 due to the competition caused from weak demand. Based on the reduction in Europe trade volumes, HMM had to reduce the vessel capacity to better match the fallen demand in 2009. The profits were down significantly in 2009 and it affected HMM service quality to customers. For example, equipment shortage was caused from equipment order restriction and transit time extension was caused from slow steaming.

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18.	Based on your experience prior to October 2008 (i.e., before the Far East Freight Conference (FEFC) disbanded), did the existence of FEFC have any impact on your liner shipping-related business in the Far East/Europe trade? Please explain.	HMM was a member of FEFC for a brief period prior to the abolishment of the conference. As such, HMM did not have much impact by the existence of the conference.
19.	Based on your experience in the period from October 2008 to the present (i.e., since the E.U. block exemption was terminated), has there been any significant change(s) in liner services in the Far East/Europe trade that you attribute to the E.U.'s ending of the block exemption? For example, changes in: a. the level of freight rates and surcharges; b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility); c. the assessment of surcharges; d. the level of competition among ocean carriers; e. the service contracting practices or terms offered by ocean carriers; f. the availability of vessel capacity and container equipment; and g. the level or quality of liner services (including customer service, billing accuracy, etc). If so, please identify and explain the changes.	The adjustments of rates and surcharges have increased in frequency since the EU's ending of the block exemption. Other than the frequency of the increase of freight rates and surcharges, there have been no significant changes to other aspects due to the ending of the block exemption.
20.	For CY 2010 to date, please estimate the percentage of your annual business in the Far East/Europe trade that moved under (a) annual service contracts, (b) shorter-term freight agreements (c) spot rates, and (d) other. Has that changed	In 2010, the total volume of HMM's Far East/Europe trade was moved in the following ratio: [REDACTED] % under long term service agreements; [REDACTED] % under short term freight agreements; and [REDACTED] % under spot rates.

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21.	significantly since October 2008? If so, please explain. Following repeal of the E.U. block exemption, ocean carriers created a global information system under Container Trade Statistics, Ltd. (CTS), in which a majority of ocean carriers serving the Far East/Europe trade participate. CTS makes certain data free on its web site, including indices of the carriers' aggregated average revenue per TEU by month. CTS also sells other data. To what extent, if at all, does your company access and use Far East/Europe trade data, and (if it does so) for what purpose(s)?	HMM subscribes to CTS in order to obtain trade data mainly for HMM internal marketing information.
Section E 22.	Comparisons Among Trades Based on your experience since October 2008 (since the E.U. block exemption was terminated) are there differences in the characteristics of the Far East/U.S. trade versus the Far East/Europe or North Europe/U.S. trades that you attribute to differences between U.S. and European liner competition regulations? For example, differences in: a. the level of freight rates and surcharges; b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility); c. the assessment of surcharges; d. the level of competition among ocean carriers; e. the service contracting practices or terms offered by ocean carriers; f. the availability of vessel capacity and container equipment; and g. the level or quality of liner services (including customer	

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	service, billing accuracy, etc). If so, please identify those differences.	
23.	Please Identify any significant similarities and dissimilarities (for example, cargo volumes, scope or scale of operations, shipper mix, geography, market concentration levels, contracting practices, legal requirements, etc) that existed in liner shipping markets in the (1) Far East/US trade and the (2) Far East/Europe trade during the period 2006 -2010. In your opinion, how (if at all) would those similarities and dissimilarities likely impact a comparison of liner pricing and service behavior across those two trades?	
Section F	Additional Questions for VOCCs	
24.	Please estimate the percentage of your liner revenues (globally) that were earned in each of the following trade lanes during CY 2010 to date: a. N.Europe/U.S. liner trade _____ % b. Far East/U.S. liner trade _____ % c. Far East/Europe liner trade _____ % d. All other liner trades _____ % e. Total (all liner trades combined) 100% If those percentages changed significantly during the 2006 through 2010 period, please describe and explain the change.	Following is the percentage of container liner revenues during CY 2010 to November. a. N.Europe/U.S. liner trade [REDACTED] % b. Far East/U.S. liner trade [REDACTED] % c. Far East/Europe liner trade [REDACTED] % d. All other liner trades [REDACTED] % e. Total (all liner trades combined) 100% Comparing to 2006, the percentage of Far East/Europe and other trades have grown by around 5% respectively.
25.	In each of the three major East-West trades, please estimate the percent of cargo your company carried for BCO accounts, OTI accounts, other accounts (if any, please explain) during CY 2010 to date: f. North Europe/U.S. liner trade _____ % _____ %	f. North Europe/U.S. liner trade [REDACTED] % [REDACTED] % [REDACTED] % BCO OTI Other

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	g. Far East/U.S. liner trade _____ % _____ % _____ % h. Far East/Europe liner trade _____ % _____ % _____ % Has the relative ranking of shipper types in these trade lanes changed significantly during the 2006 through 2010 period? If so, please describe and explain the change.	g. Far East/U.S. liner trade [REDACTED] % [REDACTED] % [REDACTED] % h. Far East/Europe liner trade [REDACTED] % [REDACTED] % [REDACTED] %
26.	In each of the three major East-West trade lanes, please indicate which lanes have tended to be the relatively <u>most</u> profitable and which was the relatively <u>least</u> profitable for each year between 2006 and 2010 (inclusive). [Write M for most, and L for least.] Far East/US Far East/Europe Europe/U.S. a. 2006 _____ b. 2007 _____ c. 2008 _____ d. 2009 _____ e. 2010 _____ If those ranking changed significantly during the 2006 through 2010 period, please explain the reason (s) for the change.	The profitability below is noted from two perspectives; aggregated profit vs unit profit (aggregate/unit profit). Far East/US Far East/Europe Europe/U.S. a. 2006 [REDACTED] [REDACTED] [REDACTED] b. 2007 [REDACTED] [REDACTED] [REDACTED] c. 2008 [REDACTED] [REDACTED] [REDACTED] d. 2009 [REDACTED] [REDACTED] [REDACTED] e. 2010 [REDACTED] [REDACTED] [REDACTED]
27.	Based on your experience during the period from January 2006 to the present, have there been any significant changes in the nature of your business in the North Europe/U.S. liner shipping market related to changes in: a. Seasonality of cargo movements; b. Commodity values; c. Directional cargo imbalances (imports v. exports); d. Number of carriers serving the trade; or e. Minimum scale (# and size of vessels) needed to serve the	We have not seen any significant changes to the seasonality of handling cargoes, commodity values, directional cargo imbalances, number of carriers serving in the trade or size of vessels in the North Europe/U.S. trade since January 2006. All cargo movement has depended on market S&D, and this trade has less than 5,000TEU capacity vessels to fine-tune and cope with any market S&D balance.

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	trade efficiently. If so, please identify and explain those changes.	
28.	Based on your company's experience in the North Europe/U.S. trade, please identify any substantial changes that occurred in your liner business (operations, marketing, pricing, etc.) in the two years following repeal of the EU liner conference exemption as compared with the two years preceding the repeal (2006 -2007)? If any, please explain.	HMM business has been subject to market S&D. The financial crisis fanned through global economy, which caused the free-fall of demand. The repeal seemed to ignite all-in rate in the market as per customers' request, so real term of ocean freight was minus in year 2009. After some market capacity withdrawal and demand recovery, year 2010 has independent carriers' GRI and surcharge re-introduction, which seemed to cause some confusion to the customers. Some customers have indicated to us that it would be beneficial for them if there were a carrier agreement to discuss issues such as the frequency of GRI.
29.	Based on your experience during the period from January 2006 to the present, have there been any significant changes in the nature of your business in the Far East/US liner shipping market related to changes in: a. Seasonality of cargo movements; b. Commodity values; c. Directional cargo imbalances (imports v. exports); d. Number of carriers serving the trade; or e. Minimum scale (# and size of vessels) needed to serve the trade efficiently. If so, please identify and explain those changes.	a) In EB trade, the seasonality has been more dependent upon the economy rather than traditional ups and downs by the characteristics of commodity itself. It was the case especially in 2008 thru 2009 when the cargo had decreased by more than [REDACTED] % from the third quarter of 2008 to the first quarter of 2009, stayed weak until the fourth quarter of 2009 when, though the traditional slack season, the cargo increased by [REDACTED] % from the previous quarter. In 2010, we saw it return closer to normal shipping cycles; high in summer (although higher volume moved in the second quarter than third quarter) and slower in the fourth quarter. In the WB trade, seasonality in some commodity segment is driven by agricultural harvest cycles. There has been no change. b) We are not experts regarding the commodity markets and price trends. Nor have we sufficient data. However, HMM is aware of a recent phenomenon in agricultural commodity pricing that has seen tremendous increases for corn, wheat, soybeans and cotton this growing season. The increases are driven by heightened demand and limited supply. c) In 2007 HMM changed the method of calculating the financial contribution of export cargo. The change, based on cost avoidance rather than profit, made moving out of US inland origins more attractive than the past and enabled to give the priority to port loading cargo in general. This is evidenced by the improved Match Back (MB) trend for HMM. [CHART REDACTED]

	d) New carriers come and go depending on market conditions. If rates are high and profits are being made, new carriers often rejoin the trade, typically in relatively limited scope. This has happened with a number of carriers in 2010. When supply/demand are out of balance, those carriers leave the trade. As far as we know, the mainstream carriers have stayed in the trade throughout ups and downs serving customers who need the transportation service. <table><tr><th>Year</th><th>2006</th><th>2007</th><th>2008</th><th>2009</th><th>2010</th></tr><tr><td>No. of Carriers</td><td>35</td><td>31</td><td>27</td><td>24</td><td>26</td></tr></table> (Source: PIERs) e) There is no correct response to this macro question. Carriers make service design decisions based on supply/demand, scope coverage, port range, round trip voyage transit and any number of other factors. Services must be scalable depending on demand. While the trend should say that vessel has been upsized with larger one historically, there appears to be some limitation for larger vessel over certain tonnage to enter TPS trade such as the navigation in the Panama Canal, and handling capacity in port terminals. From the perspective of alliance vs. individual operation, the former may give incentive for larger vessel with more frequency because the member lines are able to load onto another line's ship with their own cargo solicited.	Year	2006	2007	2008	2009	2010	No. of Carriers	35	31	27	24	26
Year	2006	2007	2008	2009	2010								
No. of Carriers	35	31	27	24	26								
30.	Based on your experience during the period from January 2006 to the present, have there been any significant changes in the nature of your business in the Far East/E.U. liner shipping market related to changes in: a. Seasonality of cargo movements; b. Commodity values; c. Directional cargo imbalances (imports v. exports); d. Number of carriers serving the trade; or e. Minimum scale (# and size of vessels) needed to serve the												
	a) There has been no change on seasonality of cargo movements. b) Some high value cargo transferred from air transport to ocean transport such as laptop computer c) There has been no substantial change on it. d) New carriers come and go depending on market conditions. If rates are high and profits are being made, new carriers often join the trade, typically in relatively limited scope. When supply/demand are out of balance, those carriers leave the trade. As far as we know, the mainstream carriers have stayed in the trade throughout ups and downs serving customers who need the transportation service.												

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	trade efficiently. If so, please identify and explain those changes.	e) There is no correct response to this macro question. Carriers make service design decisions based on supply/demand, scope coverage, port range, round trip voyage transit and any number of other factors. Services must be scalable depending on demand. While the trend should say that vessel has been upsized with larger one historically, there appears to be some limitation for larger vessel over certain tonnage to enter Europe trade such as the navigation in the Suez Canal, handling capacity in port terminals. From the perspective of alliance vs. individual operation, the former may give incentive for larger vessel with more frequency because the member lines are able to load onto a ship with their own cargo solicited.
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